Calder Works Lofts - Investor Presentation v3

- February 12, 2024
- Prepared by Halvorsen Urban Partners LLC
- Confidential - for discussion with prospective investors

Lynchburg at a glance

- Growing regional economy anchored by healthcare and higher education
- Downtown residential occupancy above 94%
- Limited new supply in the Lower Basin

The Calder Shoe Company works

- Landmark 1920s industrial complex on Commerce Street
- Steel sash windows, concrete frame, terra cotta detailing
- Walkable to downtown employers and riverfront trail

Project overview

- 134 loft apartments across three historic buildings
- Buildings A, B and C at 1200 Commerce Street, Lynchburg, VA 24504
- Federal and Virginia historic tax credits

Sponsor track record

- Halvorsen Urban Partners LLC: 11 historic rehabs completed since 2012
- Over 900 units delivered
- Repeat partner of regional banks and tax credit investors

Credit basis

- Qualified rehabilitation expenditures: $39.8M
- Federal HTC (20%) and Virginia HTC (25%)

Design approach

- Loft-style units with exposed concrete and original windows
- Amenity space in the former shipping hall
- Best-in-class finishes at workforce-friendly rents

Market positioning

- Rents positioned 5-8% above garden-style competitors
- Premium supported by historic character and location
- Strong pre-leasing interest list

Federal credit monetization

- Federal HTC: $7.96M - monetized via IRC Section 6418 transfer at $0.91
- Turnkey credit sale; no investor partnership required

Risk mitigants

- Experienced GC with fixed GMP
- Completion and recapture guaranties from sponsor
- Conservative underwriting of lease-up

Next steps

- Finalize investor documents
- Close construction financing
- Commence construction

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